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April 21, 2026

COMMITTEE SUBSTITUTE
FOR ENGROSSED
HOUSE BILL NO. 1823

By: Newton of the House

and

Jech of the Senate

An Act relating to the Oklahoma Housing Finance Agency; defining terms; mandating the publication of certain information; requiring certain actions prior to changes to the administration of HOME funds; prohibiting the retroactive application of certain rules; directing the Oklahoma Housing Finance Agency to give preference for grant awards to certain entities; providing for preemption; providing for codification; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 2901.5 of Title 74, unless there is created a duplication in numbering, reads as follows:

A. As used in this section:

1. "HOME funds" means all federal HOME Investment Partnerships Program allocations and related program income made available to the state, including, pursuant to 24 C.F.R., Part 92.2, an agency or instrumentality that is established pursuant to legislation and

1 designated by the Governor to act on behalf of the state. This
2 shall not include funds appropriated under Section 3205 of the
3 American Rescue Plan Act of 2021; and

4 2. "HOME Program" means the federal HOME Investment
5 Partnerships Program authorized under the HOME Investment
6 Partnerships Act, 42 U.S.C., Section 12701 et seq., and the
7 implementing regulations codified in 24 C.F.R., Part 92, as amended.

8 B. The Oklahoma Housing Finance Agency shall administer the
9 HOME Program in compliance with federal statutes and guidance by the
10 United States Department of Housing and Urban Development (HUD). If
11 the Agency proposes requirements, conditions, or restrictions on
12 HOME funds that are stricter than those required by federal HOME
13 statute or 24 C.F.R., Part 92, the Agency shall electronically
14 publish data or other information publicly that explains such
15 changes.

16 C. The Agency shall electronically publish notice on its
17 website of any changes to HOME Program eligibility, standards,
18 written agreements, or requirements at least thirty (30) days prior
19 to the implementation of such changes, unless in the event of an
20 emergency. Such notice shall explain all changes to previous
21 policies. No rule, policy, manual, guidance, administrative
22 procedure, or other directive relating to the Agency's
23 administration of HOME funds shall become effective without:

24 1. Electronic publication in "The Oklahoma Register";

1 2. A minimum public comment period of not less than thirty (30)
2 days; and

3 3. Consideration of all timely filed comments.

4 Following the direction of HUD, the Agency may provide for a
5 shorter public comment period when necessary to act expeditiously.

6 D. The Agency shall not retroactively apply any program rule
7 changes to HOME awards, contracts, agreements, or commitments
8 already awarded or executed except to the extent expressly required
9 by changes in federal HOME statutes or federal regulations. Nothing
10 in this section shall be construed to prevent the Agency and HOME
11 Program participants from mutually agreeing to amend written
12 agreements, restrictive covenants, or similar instruments to adopt
13 updated program options, provisions, or requirements.

14 E. The Agency shall give preference to grant awards to
15 nonprofit organizations that build, acquire, or rehabilitate
16 property for rent or homeownership. The Agency may exercise
17 discretion to reserve more than the HUD-required minimum fifteen
18 percent (15%) set aside of any allocation of HOME funds for projects
19 owned, sponsored, or developed by nonprofit community housing
20 development organizations (CHDOs). CHDOs are guaranteed retention
21 of program proceeds. Eligible nonprofit entities participating in
22 the HOME Program shall not be restricted from using third-party
23 guarantors, loan guaranty arrangements, or other legally recognized
24 risk-sharing mechanisms permitted under federal HOME regulations.

1 F. In the event of any conflict between this section and
2 another provision of state law, this section shall control with
3 respect to the Agency's administration of the federal HOME Program
4 to the extent permitted by federal law. The Agency's obligations
5 under this section are subject to compliance with, and shall be
6 interpreted consistently with, federal HOME statutes and HUD
7 requirements.

8 SECTION 2. This act shall become effective November 1, 2026.

9 COMMITTEE REPORT BY: COMMITTEE ON ECONOMIC DEVELOPMENT, WORKFORCE
AND TOURISM

10 April 21, 2026 - DO PASS AS AMENDED BY CS
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